

Copart (CPRT): The \$4.1B Net Cash Salvage Monopoly

Copart has experienced a **-34.8% price drawdown from \$50.11 down to \$32.67** (\$31.5B Market Cap / \$27.4B Enterprise Value). This multiple contraction offers a rare opportunity to acquire one of the highest-quality wide-moat compounders in public markets at **19.5× Forward P/E**.

Copart sits on an impregnable balance sheet holding **\$4.20B in cash against just \$93.1M in debt (Net Cash: +\$4.11 Billion)**, generating **\$1.96B in EBITDA (42.3% EBITDA Margin)** and \$1.0B in annual Free Cash Flow backed by an unreplicable global salvage land bank.

VALUATION AT \$32.67

19.5× Forward P/E

Down 34.8% from \$50.11 ATH

BALANCE SHEET FORTRESS

+\$4.11B Net Cash

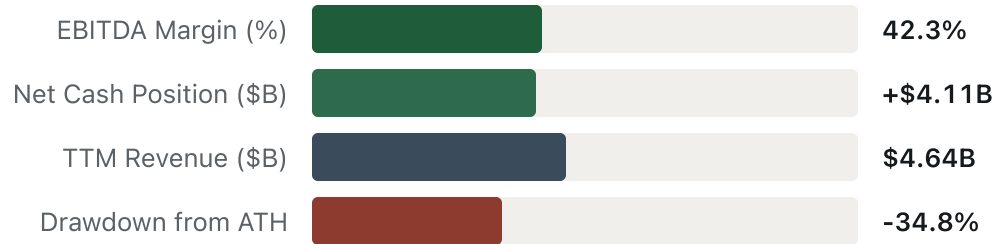
Cash is 13.3% of Market Cap · Zero
Net Debt

ADJUDICATED VERDICT

OWNABLE (Starter 1.5%)

Elite global salvage auction duopoly

The Irreplaceable Moat: Zoned Salvage Real Estate



Why Copart Cannot Be Disrupted: In salvage auto auctions, you cannot run a software marketplace without physical, environmentally permitted, industrial-zoned acreage near major metropolitan areas. CPRT owns **over 18,000 acres of freehold salvage land across 200+ facilities globally**. Strict NIMBY zoning laws make duplicating this physical footprint legally and economically impossible.

EXECUTION ARCHITECTURE

Execution & Sizing Architecture

TRANCHE	TARGET PRICE RANGE	ALLOCATION (% BOOK)	EXECUTION RATIONALE
Tranche 1 (Starter Entry)	\$31.50 – \$33.00	1.00% (\$10,000)	Capture 19.5x Forward P/E valuation trough backed by \$4.1B net cash.
Tranche 2 (Dislocation Add)	\$27.00 – \$29.00	0.50% (\$5,000)	Staged GTC limit orders at 52-week low (\$26.81) floor.

Portfolio Sizing Cap: 1.50% Total Allocation (\$15,000 USD). Long-term core quality asset.